

Section 80C of Income Tax Act - 80C Deduction List

Section 80C is one of the most popular tax saving deductions, allowing both individuals and HUFs to claim up to Rs. 1.5 lakh deduction per financial year. It covers a variety of investments and payments such as PPF, ELSS, life insurance premiums, NSC, EPF, Sukanya Samriddhi Yojana and, home loan principal repayment, and tuition fees.

Key Highlights

- Section 80C deduction is available only under the old tax regime.
- Additional Rs. 50,000 deduction can be claimed u/s 80CCD(1B) on contribution to specified pension funds.
- Parallel provisions in the Income Tax Act, 2025 are dealt under section 123 of the act.

What is Section 80C Deductions?

Section 80C is a deduction against total income, allowing you to reduce the taxable income up to a Rs. 1.5 lakhs. This means that the deduction is against income, not the final tax outlay. It offers [tax savings](#) against various government backed investments, saving schemes, and other crucial payments such as tuition fees, home loan repayment.

The aforesaid deduction limit applies to the cumulative investment amount, not amount contributed against each investment/payment. Irrespective of the amount of investments, the maximum limit is fixed at Rs. 1.5 lakhs.

Section 80C deduction is available only under the old regime. Taxpayers opting for the new tax regime are not eligible for this deduction.

Section 80C - Income Tax Act 2025 Updates

As mentioned in Budget 2026, the new [Income Tax Act 2025](#) came into effect from 1st April 2026 and will be applicable for [Tax Year](#) 2026-27 and onwards. The Income Tax Act 2025 revamps the direct tax structure with simplified language and new sections to ensure uniformity. All deductions under Section 80C, 80CCC, and 80CCC(1) have been combined under a single Section 123 read with schedule XV.

The deductions remain to be allowed only under the old tax regime. Thus, taxpayers opting for the new tax regime will not be allowed to claim such tax deductions even under the Income Tax Act 2025.

Though the Income Tax Act 2025 takes effect from 01st April 2026, the provisions of the 1961 act applies for AY 2026-27, as it pertains to income earned up to 31st March, 2026.

Below is the comparison of the Income Tax Act 1961 Act with those in the Income Tax Act 2026.

Topic	The Income Tax Act 1961	The Income Tax Act 2026
Investments and eligible payment deductions	Section 80 C	Section 123 read with schedule XV

Contribution to pension/ annuity fund of LIC or insurer	Section 80 CCC	Section 123 read with Schedule XV
Employee NPS contribution (within 1.5 Lakh Rupee limit)	Section 80 CCD(1)	Section 123 read with Schedule XV
Additional NPS contribution over and above 1.5 Lakh Rupee)	Section 80 CCD(1B)	Section 124(3)
Combined ceiling for section 80C+80CCC+80CCD(1)	Section 80 CCE	Section 123
Deductions reported in ITR under Chapter VI-A	Chapter VI-A	Chapter VIII (Section 122 onwards)

Section 80C Deductions List - FY 2025-26

The following investments and expenses can be claimed as Section 80C Deductions:

- Life insurance premium payments
- [Public Provident Fund](#) (PPF)
- Employee Provident Fund (EPF) contributions
- [Equity Linked Savings Scheme](#) (ELSS) mutual funds
- [National Savings Certificate](#) (NSC)
- [Sukanya Samriddhi Yojana](#) (SSY)
- 5 year tax-saving fixed deposits
- [Senior Citizen Savings Scheme](#) (SCSS)
- [Home loan principal repayment](#)
- Stamp duty and registration charges on property purchase
- Tuition fees paid for up to two children

However, a combined deduction of up to Rs. 1.5 lakh is allowed for the above investments and expenses.

Maximum Section 80C Deduction Limit - FY 2025-26

The maximum deduction available under Section 80C is Rs. 1,50,000 per financial year. This limit is applicable to the total combined amount invested across all eligible instruments and expenses.

For example, if a taxpayer invests:

- Rs. 60,000 in PPF
- Rs. 50,000 in ELSS

- Rs. 60,000 in life insurance premiums

The total deduction allowed will be Rs. 1.5 lakh, which is the maximum allowed under Section 80C and not the actual Rs. 1.7 lakh invested.

However, you can claim an additional deduction of Rs. 50,000 under Section 80CCD(1B) for contributions made to the [National Pension Scheme](#) (NPS). Therefore, the total maximum deduction available under Sections 80C, 80CCC, 80CCD(1), and [80CCD\(1B\)](#) is Rs. 2 lakh.

Sections	Eligible investments for tax deductions	Maximum Deduction	Part of the combined u/s 80CCE?
80C	ELSS, PPF or EPF, life insurance premium, home loan principal, SSY, NSC, SCSS	Rs 1,50,000	Yes
80CCC	Contributions to pension funds	Rs 1,50,000	Yes
80CCD(1)	Employee's contribution to NPS	Rs 1,50,000	Yes
80CCD(1B)	Contributions to notified pension schemes such as Atal Pension Yojana	Rs. 50,000, subject to conditions	No - this is additional deduction

Popular Section 80C investment options

The following table compares the various features of section 80C deduction options, easy for taxpayers to choose the most suitable option for them.

Investment options	Average Interest	Lock-in period	Risk factor
ELSS funds	12% – 15%	3 years	High
NPS Scheme	8% – 10% (market linked)	Till 60 years of age	Depends on choice of fund
NPS Vatsalya Scheme	9.5% to 10% (market linked)	Up to 18 years (converts into standard NPS account afterwards)	Depends on choice of fund
ULIP	8% – 10%	5 years	Medium
Tax saving FD	Up to 8.40%	5 years	Low

PPF	7.90%	15 years	Low
Senior citizen savings scheme	8.60%	5 years (can be extended for other 3 years)	Low
National Savings Certificate	7.90%	5 years	Low
Sukanya Samriddhi Yojana	8.50%	Till girl child reaches 21 years of age (partial withdrawal allowed when she reached 18 years)	Low

The maximum section 80C deduction limit is Rs. 1.5 lakh per Financial Year for all the above deductions combined.

[New Income Tax Calculator](#)

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Who can claim Section 80C Deductions?

Only individuals and HUFs are eligible to claim Section 80C deductions. Companies, Firms, LLPs, etc. are not allowed to claim the Section 80C deductions.

How to Save Tax under Section 80C?

Let us understand how section 80C helps in reducing tax implications using an example.

Mr. A has a salary income of Rs. 10 lakhs and other income of Rs. 1 lakh. He has invested Rs. 1.5 lakh in PPF.

The difference in tax implications when 80C deductions are claimed and not claimed is explained below:

Particulars	Section 80C Deduction claimed	Section 80C Deduction not claimed
Salary Income	10,00,000	10,00,000
Less - Standard Deduction	(50,000)	(50,000)
	9,50,000	9,50,000

Other Income	1,00,000	1,00,000
Gross Total Income	10,50,000	10,50,000
Less - Section 80C deduction	(1,50,000)	-
Taxable Income	9,00,000	10,50,000
Total Tax payable (including cess)	96,200	1,32,600

Therefore, by claiming a deduction of Rs. 1.5 lakh under Section 80C, **Mr. A has saved Rs. 36,400 in taxes** under the old tax regime.

Use ClearTax's free [Income Tax Calculator](#) to optimise tax savings and determine taxes.

How to claim Section 80C Deductions?

It is important to understand and comply with the following points to claim Section 80C deductions:

1. Invest in eligible instruments before 31st March of the financial year.
2. Collect proofs such as deposit slips, insurance premium receipts, ELSS statements, etc.
3. Declare investments to your employer to adjust TDS.
4. File ITR and report investments under "Deductions under Chapter VI-A".

You can use [ClearTax](#) tax filing tool to help you claim deductions and ensure easy tax filing and compliance. Our [tax experts](#) can make your tax filing simpler.

ELSS Funds Deduction Under Section 80C

Equity Linked Savings Scheme (ELSS) is a tax saving mutual fund that invests primarily in equity. Investments in ELSS qualifies for tax deductions under Section 80C.

Particulars	Details
Tax Deduction Limit	Up to Rs. 1.5 lakh per year under Section 80C
Lock-in Period	3 years
Type of Investment	Equity market linked
Tax on Returns	Long-term capital gains (LTCG) tax applicable above Rs. 1.25 lakh

Best Suited For	Investors seeking tax saving with long-term wealth creation
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PPF Deduction Under Section 80C

Public Provident Fund (PPF) is a government backed savings scheme that offers tax deduction under Section 80C along with low risk long term returns.

Particulars	Details
Tax Deduction Limit	Up to Rs. 1.5 lakh per year under Section 80C
Lock-in Period	15 years
Type of Investment	Fixed income (government-backed)
Tax on Returns	Completely tax free
Best Suited For	Conservative investors seeking long-term tax saving and wealth creation

EPF Deduction Under Section 80C

Employee Provident Fund (EPF) is a retirement savings scheme for salaried employees that qualifies for tax benefit under Section 80C.

Particulars	Details
Tax Deduction Limit	Up to Rs. 1.5 lakh per year under Section 80C
Lock-in Period	Till retirement (partial withdrawals allowed under conditions)
Type of Investment	Fixed income (government-backed retirement fund)
Tax on Returns	Tax-free if conditions are met
Best Suited For	Salaried individuals planning for long-term retirement savings

NSC Deduction Under Section 80C

National Savings Certificate (NSC) is a government backed fixed income investment scheme that is allowed as tax deduction under Section 80C.

Particulars	Details
Tax Deduction Limit	Up to Rs. 1.5 lakh per year under Section 80C
Lock-in Period	5 years
Type of Investment	Fixed income (government-backed)
Tax on Returns	Interest is taxable
Best Suited For	Conservative investors looking for safe investment with tax benefits

Sukanya Samriddhi Yojana Deduction Under Section 80C

Sukanya Samriddhi Yojana (SSY) is a government backed savings scheme specifically designed for girl children. Taxpayers with a girl child can start investing in this scheme. Investment in SSY is allowed as tax deductions under Section 80C.

Particulars	Details
Tax Deduction Limit	Up to Rs. 1.5 lakh per year under Section 80C
Lock-in Period	Till the girl child turns 21 years (partial withdrawal allowed after 18)
Type of Investment	Fixed income (government-backed)
Tax on Returns	Completely tax free
Best Suited For	Parents or guardians planning long-term savings for a girl child's education or marriage

SCSS Deduction Under Section 80C

Senior Citizen Savings Scheme (SCSS) is a government backed savings scheme for senior citizen taxpayers that offers tax savings deductions under Section 80C.

Particulars	Details
Tax Deduction Limit	Up to Rs. 1.5 lakh per year under Section 80C

Lock-in Period	5 years (extendable by 3 years)
Type of Investment	Fixed income (government-backed)
Tax on Returns	Interest is taxable
Best Suited For	Senior citizens seeking regular income with tax benefits

Old Tax Regime vs New Tax Regime: Section 80C Deduction

Section 80C deduction is optimal for taxpayers opting to file taxes under the old tax regime, as taxpayers can benefit from tax deductions of up to Rs.1.5 lakh which reduces the taxable income significantly.

However, for taxpayers opting for the [new tax regime](#), Section 80C deductions are not allowed. Taxpayers having made eligible investments and expenses will still not be allowed deduction under Section 80C. Therefore, it is important to plan taxes and opt for the [better tax regime](#) depending on the taxpayer's income.

How to Maximise Section 80C Deductions?

- Start investing early in the financial year to benefit from compounding and avoid last minute decisions or investments.
- Utilise the entire Rs. 1.5 lakh limit to maximise tax deduction and savings.
- Diversify across various investment schemes like Public Provident Fund (PPF), Equity Linked Savings Scheme (ELSS), and National Savings Certificate (NSC) to balance risk and returns.
- Claim the additional Rs. 50,000 deduction under Section 80CCD(1B) by investing in National Pension Scheme. This can increase your total deduction limit up to Rs. 2 lakh.
- Make sure all investments have been made under the taxpayer's name and [relevant documents](#) are available at time of [ITR filing](#).

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Frequently Asked Questions

Can I claim the 80C deductions at the time of filing the return in case I have not submitted proof to my employer?

Yes. You can still claim those investments when you file your income tax return if not submitted to your employer. Just make sure the investments were made before the end of the financial year, i.e 31st March 2026

I have made an 80C investment on 30 April 2025. For which year can I claim this investment as a deduction?

You can claim deduction for the investments made in the ITR of that financial year. So, let's say you made an investment on April 30, 2025, you can claim it as a deduction when filing your taxes for the FY 2025-2026.

I have been paying life insurance premiums to a private insurance company. Can I claim an 80C deduction for the premium paid?

Yes, you can get a deduction under Section 80C when you pay life insurance premiums to any insurance company approved by the Insurance Regulatory and Development Authority of India, whether they are public or private.

In which year can I claim a deduction of the stamp duty paid for the purchase of a house property?

You can go ahead claiming the stamp duty for the purchase of a house in the year in which the payment is made towards stamp duty under Section 80C.

What is section 80CCD(1)?

Section 80CCD (1) allows deductions for NPS contributions at a maximum of 10% (20% for self employed) of basic salary plus dearness allowance, subject to Rs 1.5 lakh maximum limit of section 80C.

What is section 80CCD(2)?

Section 80CCD(2) allows deductions for employers' contributions made to the pension scheme, maximum up to 14% (under new regime) and 10% (under old regime) of total income can be availed.

Can I claim both 80C and 80D?

Yes. You can claim deductions under both sections 80C and 80D of the Income Tax Act, 1961.

What is the maximum Section 80C deduction limit?

The maximum section 80C deduction limit available to a taxpayer is Rs. 1,50,000 per financial year.

Can NRIs claim Section 80C?

Yes, NRIs can claim Section 80C deductions for eligible instruments like Life Insurance, ELSS.

Is FD eligible under 80C?

If the tenure of the FD is equal to or greater than 5 years (typically called tax saving FDs), deduction is allowed under section 80C.

Can tuition fees be claimed under 80C?

Yes, tuition fees paid to a university, college, school or other educational institution in India for full-time education can be claimed as a deduction under section 80C

Are ULIPs under 80C?

ULIPs can be claimed as a deduction under section 80C

What is Section 80CCE?

Section 80CCE prescribes that the combined limit under section 80C, 80CCC and 80CCD(1) does not exceed Rs. 1.5 lakhs.